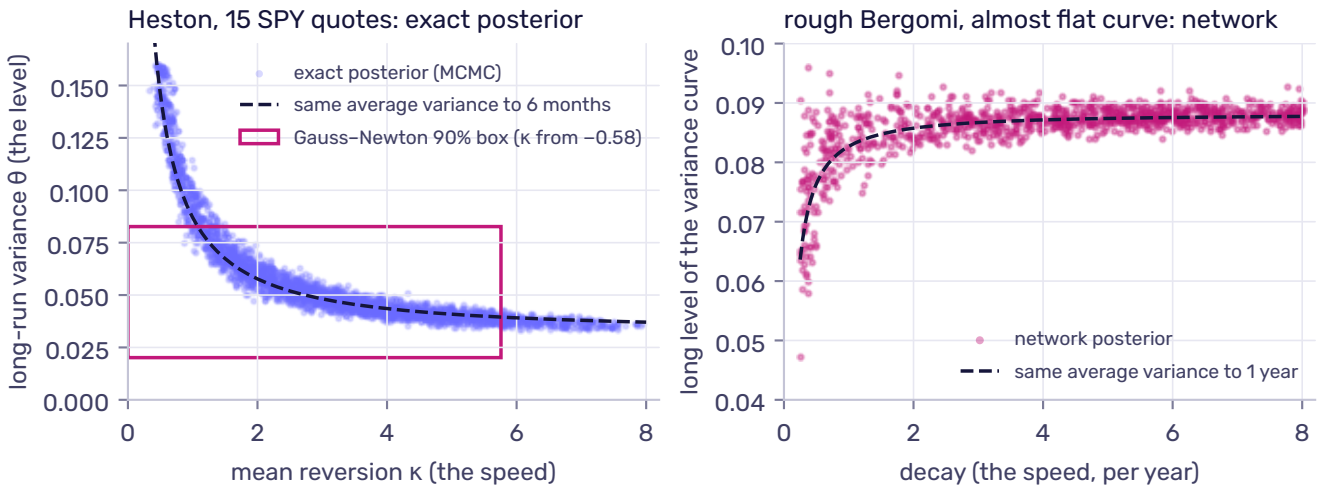
Heston, 15 SPY quotes: exact posterior
exact posterior (MCMC)
same average variance to 6 months
Gauss–Newton 90% box (κ from −0.58)
long-run variance θ (the level)
0.150
0.125
0.100
0.075
0.050
0.025
0.000
0
2
4
6
8
mean reversion κ (the speed)
rough Bergomi, almost flat curve: network
long level of the variance curve
0.10
0.09
0.08
0.07
0.06
0.05
0.04
network posterior
same average variance to 1 year
decay (the speed, per year)